The Short, the Long, and the Consequences of VAR Analysis For Structural DSGE Estimation

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Motivation

- VAR models can be used to estimate DSGE frameworks by IRFs minimization matching
- If the VAR is mispecified the DSGE might also be so

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  If the ***VAR is mispecified****, however, then the* ***specification errors will be computed at each horizon****"* **Ramey2016), p. 83**
- VARs and DSGEs are instruments used by central banks to make policy decisions
- Misspecification can deliver distorted results mis informing the central banker

This Paper

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Findings:

- Both VAR based IRFs and structural DSGE parameter estimates are significantly affected by the inclusion of longer lags

VAR IRFs DSGE IRFs DSGE Parameters

Thanks a lot for your attention!

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VAR IRFs; Monetary Policy Shock

Missing file: Comparison_Lags_4_8_12.pdf

Figure 1: IRFs VARs all CI Comparison: Monetary Policy Shock